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1-B:

An economic problem generally means the problem of making choices that occurs because of the scarcity of resources. It arises because people have unlimited desires but the means to satisfy that desire is limited. Therefore, satisfying all human needs is difficult with limited means.

Why not other options?

- A- there is unlimited wants and needs
- C- free goods have zero opportunity cost
- D- $D=S$

2-C:

Labour, as a factor of production, earns income in the form of wages and salaries.

Why not other options?

other factors of production and their factor income is correct

3-C:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

From the given diagram, we can see that there is a movement in the opportunity cost. We are having more consumer goods from point X to Y. More consumer goods can increase the choices and thus increase the standard of living.

Why not other options?

- A- no, as capital goods are decreasing as we moving towards of producing more of consumer goods
- B- this could shift the PPC outwards but this is not the case
- D- same as above

4-A:

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

Why not other options?

- B- micro aims
- C- micro aims
- D- not a macro aims

5-A:

An economic system based on supply and demand with little or no government control known as free market economy.

Yes under market economy, consumers underestimate the true benefits of goods due to information failure. Therefore leads to inefficient allocation of resources.

Why not other options?

B- demerits goods are overconsume

C- public goods are only provided by the government due to free rider problem

D- resources are owned by the private sector

6-A:

The cost of production increases will shift the supply curve backwards from S1 to S2.

While an increase in economic growth will increase the demand for copper. Now the equilibrium point will move from S3 to D3 and make option A correct.

7-D:

PES is calculated as the percentage change in quantity supplied divided by the percentage change in price.

% change in quantity demanded

$$140-100/100 = 40\%$$

% change in price

$$12-10/10 = 20\%$$

$$PES = 2\%$$

8-B:

A trade union is an organized association of workers formed to protect and advance their collective interests, primarily through negotiations with employers. These interests include wages, benefits, working conditions, and job security.

Imposing national minimum wage is imposed by the government.

9-B:

An economic system based on supply and demand with little or no government control known as free market economy.

Government regulations will not work as there is control under the market that is demand and supply.

Why not other options?

A- if there is danger levels in a work than wages would rise

C- the supply of labour will increase and thus wages would fall

D- the wages will increase

10-B:

Income subtract spending = savings

At 3600 level of income, the savings is 100 only

Why not other options?

A- at 3600, there is dissavings that is -150

C- at 3900, the total savings is 75

D- at 4200, the total savings is 150

11-D:

A higher rate of interest will increase the cost of borrowing for consumers. This will discourage and reduce the cost of borrowing from the banks. As a result the investment will

fall and thus AD too. A higher interest rate also encourages the consumers to save more and spend less and thus consumers borrowing will reduce.

Why not other options?

A- more deposits to commercial banks will encourage to issue more loans and thus spending can rise

B- government spending can increase the rolling of money in an economy and this also increases the spending by the consumers

C- increase in exchange rate will appreciate the currency. An appreciation will make imports less expensive and thus consumers can increase spending on such goods. So borrowing may increase

12-A:

average fixed cost (AFC) is the fixed costs of production (FC) divided by the quantity (Q) of output produced.

At 0 level of output, the FC still incur and that is \$50000.

So to find out the AFC at 10000 level of output, we need to put in the formula of it that is TFC/Q , $\$50000/10000=\5.00

13-A:

At 4 units, the VC is \$350, the FC is \$1000 and the TC is \$1350

$TR = Price \times Quantity$

$\$500 \times 4 = \$2,000.00$

$Profit = TR - TC$

$2000 - 1350 = 650$

14-D:

Two or more companies in the same industry and offering similar products or services combine known as horizontal merger.

Why not other options?

A- manufacturer merges with primary

B- Diversification

C- manufacturing merges with tertiary

15-D:

Public sector organizations are owned and controlled by the government. They operate on behalf of the public and are funded through taxes. These organizations provide essential services and address societal needs, with a focus on public benefit rather than profit.

Why not other options?

Individuals, shareholders and specialist managers own the private company

16-A:

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

An increase in income would increase the production in an economy that will generate higher levels of income and thus AD and As will increase. This will prevent higher inflation and economic growth also.

Why not other options?

B- not meeting the aims of full employment and BOP stability

C- equals distribution of income could an aim but generate higher government revenue means the progressive taxes should be higher that aim could conflict with full level of unemployment

D- environment support is not a aim of the government

17-A:

Immigration control could only be regarded as the government role. While other roles are the private sector or companies

18-C:

Progressive taxation means higher tax rates for those with higher income or more wealth, so that those who earn or have more are taxed at a higher rate.

From the given table, we can see that 0 level of income there is level of taxation. While with increase of an income, the tax rate is also increasing that indicates that is type of progressive tax as it says higher incomes involve higher rate of taxation.

Why not other options?

A- corporation taxes are the taxes in company's profits that is not shown in the table

B- indirect taxes are the tax imposed on the goods and services

C- regressive taxes are also the sales tax that is value added tax

19-D:

Cigarettes are the demerit goods. To reduce the overproduction and overconsumption of such goods, the government needs to intervene and impose indirect taxes on such goods.

An indirect tax will increase the cost of production of the and reduce the supply of such goods. As a result, the price will increase and the quantity supplied will contract.

Why not other options?

A- subsidies will increase the supply and thus leads to overproduction

B- increasing income tax will reduce the disposable income and consumption of goods and services will fall. This will affect the overall an economy but not the goods in particular

C- higher tax rates will encourage the savings and reduce the spending. But this also affect the economy but the cigarette in particular

20-C:

The unemployment rate is the percentage of people in the labour force who are unemployed. Consequently, measuring the unemployment rate requires identifying who is in the labour force. The labour force includes people who are either employed or unemployed.

Students won't be unemployed as they are the students so they will not be the part of labour force

21-D:

From the given table, we can identify that unemployment% is increasing and the rate of real GDP growth goes negative. This is a situation in an economy where AD is decreasing, income is falling and a situation where spending and consumption goes slow. To get out of this situation from an economy, the government needs to increase AD.

Let's find out the effective policy. Option D says increasing the government expenditure will increase the AD. While reducing the interest rates will increase the consumption and investment in an economy and thus boost AD. A higher AD will reduce the rate of unemployment and increase the real GDP.

Why not other options?

A- a higher interest rate will reduce the consumption and investment and thus fall in AD

B- a decrease in government spending will reduce the AD

C- increase in direct taxes will reduce the consumption and thus AD

22-A:

Compulsory savings will savings and thus fall in spendings and consumption expenditure in an economy

Why not other options?

B- a higher investment will increase the AD and rise in prices

C- issues of more notes and coins will increase the money supply and thus boost AD and result in rise in prices

D- reducing indirect taxes will increase the supply. A rise in supply result in fall in prices and thus increase in consumption expenditure

23-B:

The inflation rate is calculated using the Consumer Price Index (CPI), which measures the average price changes of a basket of consumer goods and services over time.

Weights represent the proportion of income spent on the goods and services. It is part of the CPI.

24-D:

Low incomes that keep incomes low could be an option D. As low incomes means more spending on the basic commodities and saving less. While low savings means fewer deposits available to the banks and thus lend less for investments. Low investment means lower productivity and thus low incomes.

Why not other options?

A- low incomes—low consumption—low prices—**higher output—higher incomes**

B- low incomes—**higher government spending**

C- low incomes—low investments—**no profits**

25-D:

Economic Development is programs, policies or activities that seek to improve the economic well-being and quality of life for a community.

Rapid population will reduce the income per head and thus increase the dependency ratio on low income households. As a result, economic development will decline.

Why not other options?

All other factors will lead to economic developments

26-A:

Greater % in service sector represents the most developed so that is in the option A

27-C:

birth rate is a measure of the number of live births occurring during the year, per 1,000 people in the population. It is normally used to predict population growth.

Better information such as use of contraceptives will result in a fall in birth rates.

Why not other options?

A- fewer women work will result High birth rates

B- infant mortality rates will also result in higher birth rates

D- optimum population means population according to the given resources

28-B:

A current account surplus means a country has more exports and incoming payments than imports and outgoing payments to other countries.

Increase in import tariffs will increase the import prices. This will reduce the imported expenditure and thus the surpluses on the current account will increase.

Why not other options?

A- abolishing quotas will increase the imports coming into an economy and thus the surplus fall and deficits may increase

C- removing export subsidies will reduce the competitiveness

D- exports become uncompetitive

29-C:

Balance of trade and services= $X - M$

$200 - 190 + 35 - 38 = 7$ surplus

30-C:

In year 4, the imports increased but in the same year exports increased by a greater %. As a result, the balance of trade improved.

Why not other options?

A- imports rise by greater % in year 2, BOT don't improve

B- same as option A

C- imports and exports both are falling so BOT don't improve